温州肯恩大学
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Strategic Mgt Global Info Sys

Information Systems Strategy Triangle

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Learning Objectives

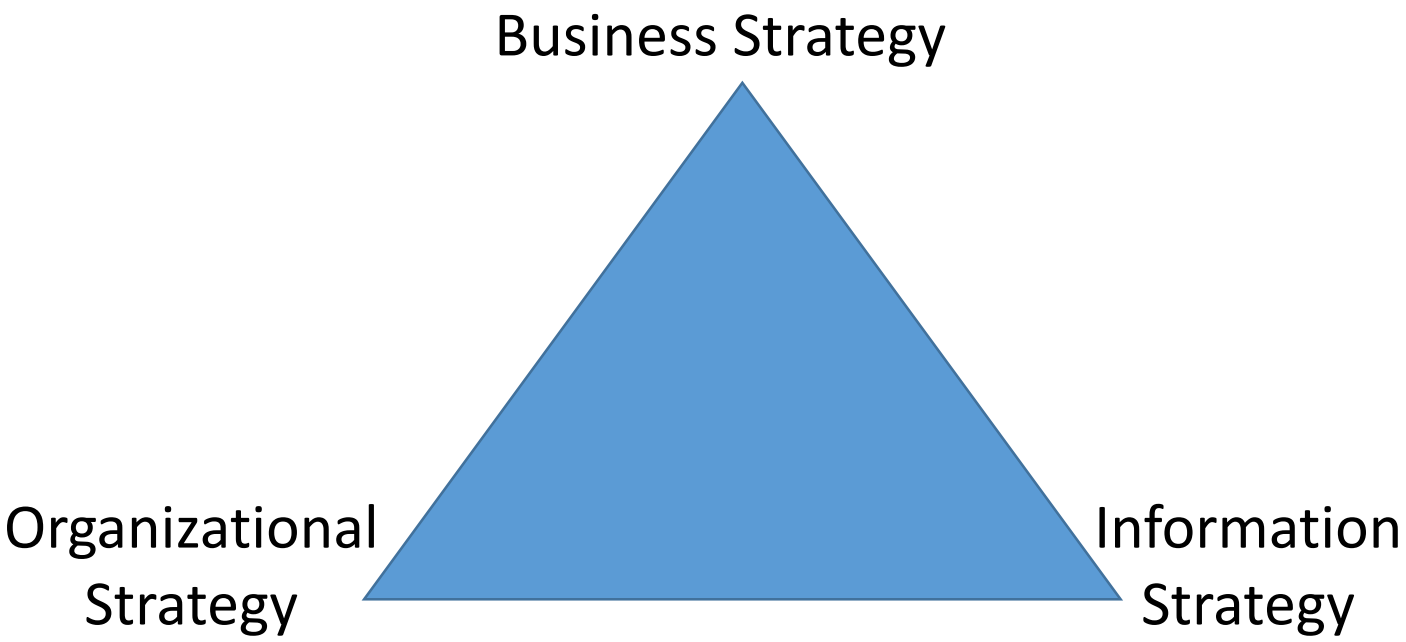
After this session, you should be able to:

- Explain how **business**, **organizational**, and **IS strategies** must align
- Describe why IS strategy cannot exist in isolation
- Recognize the risks of misalignment
- Identify how digital transformation and AI reshape this alignment

Opening Case: Kaiser Permanente (KP)

1. What was KP's business strategy in 2015?
2. Under the "fix me" system, what were doctors' bonuses based on?
3. What is the new idea be called instead of a "fix me" system?
4. What is the new basis for end-of-year bonuses?
5. What goal alignment has helped KP's success?
6. What IS components are part of this?
7. Could only the IS components be changed to achieve their success?
8. Could only the strategy be changed to achieve their success?
9. Have they been successful through 2019?

The Information Systems Strategy Triangle



All three must stay aligned.

- Business strategy drives everything.
- Organizational and IS strategies must complement.
- Changes in IS require changes elsewhere.
- Alignment is dynamic.
- IS actions have ripple effects.

What Is a Strategy?

- A strategy is a coordinated set of actions to fulfill objectives, purposes, and goals.
- Defines what the business will and will not pursue — sets clear boundaries.
- Starts with a mission — a unifying, purpose-driven statement that guides all decisions.
- The mission clarifies “why we exist” and aligns efforts across the organization.

Company	Mission Statement
Zappos	To provide the best customer service possible. Internally we call this our WOW philosophy.
Amazon	To be Earth’s most customer-centric company, where customers can find and discover anything they might want to buy online, and endeavors to offer its customers the lowest possible prices. . .(recognizing the importance of). . .Consumers, Sellers, Content Creators, and Developers & Enterprises.
L.L. Bean	Being outside brings out the best in us. That’s why we design products that make it easier to take longer walks, have deeper talks and never worry about the weather.

Business Strategy

- A **business strategy** is a plan articulating where a business seeks to go and how it expects to get there.
- Business model = blueprint of how the firm creates and captures value.
  - Value creation: how products/services deliver benefits to customers & partners.
  - Value capture: how the firm earns revenue from that value.
- Revenue model = specific mechanism for earning money
  - Product sales, subscription, advertising, cost-plus, licensing/renting, all-you-can-eat, freemium
- Data-driven business models use big data and analytics
  - Data users (improve operations), data suppliers (sell data), data facilitators (provide infrastructure).
- Key takeaway
  - A business model operationalizes the business strategy — IS must align with both.

Porter's Generic Strategies Framework

Three strategies for achieving competitive advantage (Michael Porter)

	Strategic Advantage		
Strategic Target		Uniqueness Perceived by Customer	Low Cost Position
	Industry Wide	Differentiation	Cost Leadership
	Particular Segment Only	Focus	

- Cost Leadership – achieve the lowest operational cost and offer lowest prices.
- Product Differentiation – offer unique products or services valued by customers.
- Focus (Niche Strategy) – target a specific segment or market niche.

Can you name real firms that exemplify each strategy?

Beyond Porter: Competing in Dynamic Market

- Limits of Porter's Model
  - Built for slower change → less suitable in today's fast, digital, hypercompetitive environments.
- Dynamic Environment Frameworks
  - Hypercompetition: rapid creation & erosion of advantage; success = agility & speed.
  - Dynamic Capabilities: ability to integrate, build, and reconfigure resources to adapt.
  - Creative Destruction: disrupt yourself before others do (e.g., Apple's iPhone vs. iPod).
  - Blue Ocean Strategy: create new demand and make competition irrelevant (e.g., Dell's direct model).
  - Digital Strategy: leverage digital tech (cloud, analytics, IoT) to build integrated, adaptive capabilities.
- Key Takeaway
  - Competitive advantage today is fluid — sustained success depends on how fast a firm can learn, adapt, and digitally innovate.

Why Strategic Models Matter for IS Planning

- IS must follow business strategy — not the other way around.
- Changes in business goals → IS realignment; new IS capabilities → strategy reassessment.
- To align IS with business success, managers must ask:
  - What are our goals and how will we achieve them?
  - What role does IS play in that plan?
  - Who are our competitors/partners and what makes us competitive?
  - What industry forces shape our market?

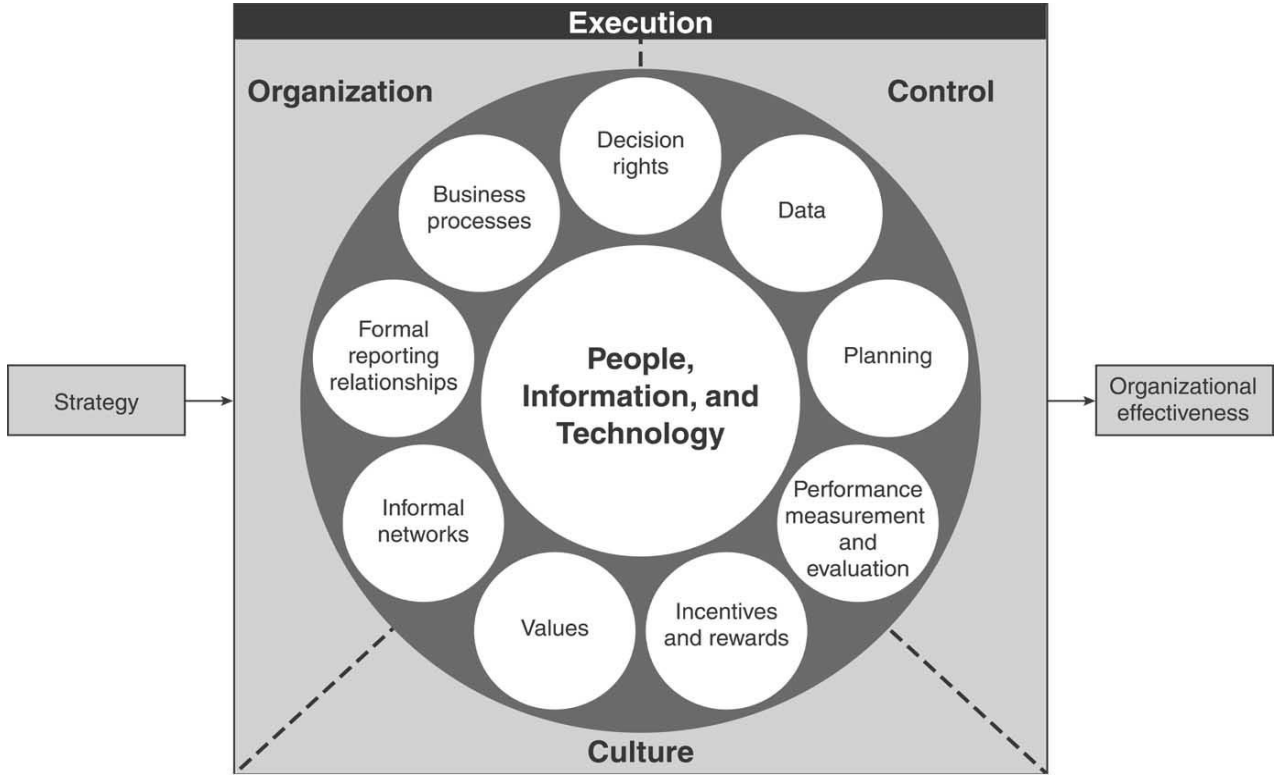
Strategic Approach	Key Idea	Application to Information Systems
Porter's generic strategies	Firms achieve competitive advantage through cost leadership, differentiation, or focus.	Understanding which strategy is chosen by a firm is critical to choosing IS to complement the strategy.
Dynamic environment strategies	Speed, agility, and aggressive moves and countermoves by a firm create competitive advantage.	The speed of change is too fast for manual response making IS critical to achieving business goals.

Organizational Strategy

- **Organizational strategy** includes the organization's design as well as the choices it makes to define, set up, coordinate, and control its work processes.

Successful organizational strategy depends on balancing these levers:

- **Organizational:** decision rights, processes, reporting relationships, networks.
- **Control:** data availability, planning systems, performance measurement, incentives.
- **Cultural:** values, norms, and shared beliefs.



Managerial Levers model

IS Strategy

- **IS strategy** is a plan an organization uses to provide information services.
- Business strategy depends on three key factors:
  - Competition: What do customers want? What are rivals doing?
  - Positioning: How will the firm compete?
  - Capabilities: What can the firm do — and how can IS expand these capabilities?
- IS enables business strategy — it provides the data, systems, and tools to execute competitive plans.

Information Systems Strategy Matrix

	What	Who	Where
Hardware	The physical devices of the system	System users and managers	Physical location of devices (cloud, datacenter, etc.)
Software	The programs, applications, and utilities	System users and managers	The hardware it resides on and physical location of that hardware
Networking	The way hardware is connected to other hardware, to the Internet and to other outside networks.	System users and managers; company that provides the service	Where the nodes, wires, and other transport media are located
Data	Bits of information stored in the system	Owners of data; data administrators	Where the information resides

Illustration in a Consulting Firm

	What	Who	Where
Hardware	Laptops, servers to store info and back up laptops	Consultants have laptops, managed by the IS Dept.	Laptops are mobile, servers are centralized
Software	Office suite, collaboration tools	Software is on consultants' laptops but managed centrally	Much resides on laptops; some only resides on servers
Networking	Internet, hard wired connections in office, remote lines from home, satellite, or client offices	ISP offers service, Internal IS group provides servers and access	Global access is needed, Nodes are managed by ISPs
Data	Work done for clients, personnel data	Data owned by firm but made available to consultants as needed	Resides on cloud and copies "pulled" into laptops as needed.

Case Analysis: Lego

Q1. How did the IS and organization design changes implemented by Knudstorp align with the changes in business strategy?

Q2. Which of Porter's generic strategies does Lego appear to be using?

Q3. Are Knudstorp's changes an indication of hypercompetition? How did Lego respond?

Q4. What advice would you give Knudstorp and Christiansen to move Lego out of the recent doldrums and to return to growth and relevance?

Summary

- **Alignment** is key: Business, organizational, and IS strategies must move together.
- Business strategy defines direction and competitive approach (Porter, dynamic models).
- Organizational strategy determines structure, processes, and culture to execute that direction.
- IS strategy provides the digital capabilities and infrastructure to enable and shape both.
- Strategic models (Porter's, hypercompetition, blue ocean, digital strategy) guide how IS supports advantage.

Key takeaway

→ Sustainable success depends on strategic alignment, organizational agility, and intelligent use of IS to adapt in a fast-changing digital world.